

Accreditation Act, 2022

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Accreditation Act, 2079

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Act Number 22 of the Year 2079 made by the Federal Parliament

An Act Made to Provide for Accreditation

Preamble: Whereas, it is desirable to accredit conformity assessment bodies, establish a Nepal Accreditation Centre, and make necessary provisions relating to accreditation,

The Federal Parliament has enacted this Act. Chapter-1
Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Accreditation Act, 2079".

(2) This Act shall commence on the thirty-first day from the date of certification. 2. Definitions: Unless the subject or context otherwise requires, in this Act:-

(a) "Chairperson" means the Chairperson of the Committee.

(b) "Executive Director" means the Executive Director appointed pursuant to Section 23.

(c) "Centre" means the Nepal Accreditation Centre established pursuant to Section 3.

(d) "Fund" means the Fund established pursuant to Section 28.

(e) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(f) "Inspection Body" means a body that inspects the design, structure, or process of goods or services.

(g) "Process" means the process to be completed at some or all stages from production to distribution of such goods or services to maintain the quality of goods or services.

(h) "Accreditation" means third-party attestation to determine the competence of a conformity assessment body.

(i) "Accreditation Certificate" means the certificate granted pursuant to Section 13.

(j) "Laboratory" means a body or institution established pursuant to the prevailing law for the purpose of testing, examining, or calibrating samples of goods or health-related (clinical) samples.

(k) "Proficiency Testing" means the evaluation of performance capability through testing according to predetermined criteria and inter-laboratory comparison methods of the relevant laboratory.

(l) "Ministry" means the Ministry of Industry, Commerce and Supplies.

(m) "Subject Committee" means the Subject Committee constituted pursuant to Section 9.

(n) "Member" means a member of the Committee, and the term also includes the Chairperson and Member-Secretary of the Committee.

(o) "Conformity Assessment" means the activity of determining whether specified requirements are fulfilled when performing activities such as laboratory analysis, calibration, certification of goods, services, processes, or the competence of persons or systems, inspection, production of certified reference materials, proficiency testing.

(p) "Conformity Assessment Body" means a body that certifies goods, services, processes, management systems, or the competence of persons.

(q) "Committee" means the Governing Board constituted pursuant to Section 6. Chapter-2
Provisions Relating to Establishment of the Centre and the Committee

3. Establishment of the Centre: (1) There shall be a Nepal Accreditation Centre to carry out accreditation-related work.

(2) The Centre shall be called "Nepal Accreditation Centre" in English.

(3) The office of the Centre shall be located in the Kathmandu Valley. 4.

Centre to be an Autonomous Corporate Body: (1) The Centre shall be an autonomous corporate body with perpetual succession and shall have a legal personality. (2) The Centre shall, in its capacity as a legal person, exercise rights, perform duties, and discharge liabilities in accordance with the prevailing law. 5.

Functions, Duties and Powers of the Centre: (1) Only the Centre shall have the authority to grant Accreditation Certificates to conformity assessment bodies in accordance with this Act. (2) In addition to the functions, duties, and powers written elsewhere in this Act, the functions, duties, and powers of the Centre shall be as follows:- (a) To prepare necessary guidelines, procedures, and criteria to make the work and proceedings of the Subject Committee effective and submit them to the Committee, (b) To implement or cause to be implemented the decisions made by the Committee, (c) To grant Accreditation Certificates to conformity assessment bodies, (d) To prepare and update a list of experts and assessors in various subjects, (e) To conduct capacity building programs relating to accreditation and conformity assessment, (f) To carry out awareness and promotional activities related to accreditation, (g) To cooperate with relevant regulatory bodies regarding accreditation and conformity assessment, (h) To represent at national and international level conferences and programs related to accreditation, (i) To monitor the work and activities carried out by conformity assessment bodies, (j) To enter into agreements related to conformity assessment and accreditation with counterpart institutions of other countries, regional or international institutions, with the approval of the Government of Nepal, and (k) To perform other functions as assigned by the Committee. 6.

Constitution of the Committee: (1) There shall be a Governing Board consisting of the following office bearers for the operation of the Centre:- (a) Secretary, Ministry - Chairperson (b) Joint Secretary, Ministry - Member (c) Joint Secretary, Ministry of Agriculture and Livestock Development - Member (d) Joint Secretary, Ministry of Health and Population - Member (e) Joint Secretary, Ministry of Education, Science and Technology - Member (f) Director General, Nepal Bureau of Standards and Metrology - Member (g) Two persons, including at least one woman, nominated by the Ministry from among professors in the relevant field from universities - Member (h) Three persons, including at least one woman, nominated by the Ministry representing one each from professional institutions related to conformity assessment, the industrial and commercial sector, and the private sector - Member (i) Executive Director - Member-Secretary (2) The term of office of the nominated members pursuant to clauses (e) and (f) of sub-section (1) shall be two years. Their nomination shall be made on the basis of the principle of inclusiveness. (3) Notwithstanding anything written in sub-section (2), if the performance of a nominated member is not satisfactory, the Ministry may remove him/her from the membership. Provided that, before being removed in such a manner, he/she shall be given a reasonable opportunity to submit a defence. 7. Meeting and Decision of the Committee: (1) The Committee shall meet at least twice a year. (2) The meeting of the Committee shall be held on the date, time, and place fixed by the Chairperson, and the Chairperson shall preside over the meeting. (3) Generally, at least forty-eight hours before the meeting of the Committee, the Executive Director shall make available to the members the details including the agenda of the meeting. (4) If fifty-one percent of the total number of members of the Committee

are present, the meeting shall be deemed to have attained a quorum. (5) The opinion of the majority shall prevail in the meeting of the Committee, and in case of a tie, the person presiding over the meeting shall cast the deciding vote. (6) The Committee may invite an office bearer of any body or an expert on the relevant subject to the meeting as required. (7) The decision of the Committee meeting shall be certified by the person presiding over the meeting, and the Executive Director shall keep a record thereof. (8) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. 8.

Functions, Duties and Powers of the Committee: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Committee shall be as follows:- (a) To advise the Government of Nepal on policy matters relating to conformity assessment and accreditation, (b) To prepare a draft of necessary policies to make work and activities related to conformity assessment effective and recommend them to the Government of Nepal for approval, (c) To approve the program and budget of the Centre, (d) To monitor or cause to be monitored the accreditation-related work and activities carried out in Nepal by foreign institutions, (e) To determine the fees chargeable for services provided by the Centre, (f) To give necessary instructions regarding ensuring the independence and impartiality of accreditation-related work and activities, (g) To hear complaints received regarding accreditation and make necessary decisions, (h) To study bilateral, multilateral, and international treaties and agreements as necessary regarding accreditation and give directions to the Centre, and (i) To discuss proposals submitted by the Centre and make necessary decisions. 9. **Subject Committee:** (1) The Committee may constitute various Subject Committees as necessary to make accreditation-related work and activities quality-oriented and effective. (2) A Subject Committee constituted pursuant to sub-section (1) shall consist of up to five members including one Coordinator on the basis of the principle of inclusiveness. (3) While nominating members for the Subject Committee pursuant to sub-section (1), the Committee shall select and nominate as a member of the Subject Committee a person who has obtained at least a post-graduate degree in the relevant subject and has at least ten years of experience in the relevant field. (4) The term of office of a member nominated pursuant to sub-section (3) shall be four years. (5) Notwithstanding anything written in sub-section (4), if the performance of a member of the Subject Committee is not satisfactory, if he/she fails to honestly fulfill the official responsibilities, if he/she acts against the interest or objective of the Committee, or if he/she exhibits misconduct, the Committee may remove him/her from the position. Provided that, before being removed in such a manner, he/she shall be given a reasonable opportunity to submit a defence. (6) Members of the Subject Committee shall receive facilities as prescribed by the Government of Nepal, Ministry of Finance. (7) Other functions, duties, and powers of the Subject Committee shall be as prescribed. **Chapter-3 Provisions Relating to Accreditation** 10.

Application Required to Obtain Accreditation Certificate: (1) If a conformity assessment body wishes to obtain an Accreditation Certificate for the purpose of conformity assessment-related work, it shall submit an application to the Centre in the format as prescribed, along with the prescribed fee. (2) Upon receipt of an application pursuant to sub-section (1), the Centre shall designate an assessor, who is a Nepali citizen having obtained a bachelor's degree in the relevant subject from a recognized university and at least ten years of experience, in the required number to conduct necessary inquiry and assessment regarding such application. (3) The assessor designated pursuant to sub-section (2) shall, within the period specified by the Centre, conduct necessary inquiry and assessment and submit a preliminary report to the Centre in the format as prescribed. 11. **Deadline to be Given:** Based on the report submitted by the assessor pursuant to sub-section (3) of Section 10, the Centre shall give a deadline to the Subject Committee constituted pursuant to Section 9 to conduct necessary inquiry regarding such institution and submit a report within the prescribed period. 12. **Study and Inquiry to be Conducted:** (1) After receiving the deadline pursuant to Section 11, if

further evidence is required regarding such institution, the Subject Committee may order the assessor designated pursuant to sub-section (2) of Section 10 to conduct a site inspection and submit a report. (2) Based on the site inspection report received from the assessor pursuant to sub-section (1) and other matters, the Subject Committee shall conduct necessary study and inquiry and submit a final report to the Centre. (3) Provisions regarding the site inspection, study and inquiry to be conducted pursuant to sub-sections (1) and (2), details to be included in the report, and the format of the report shall be as prescribed. 13.

Accreditation Certificate to be Given: (1) After the report is received pursuant to Section 12, the Executive Director may hold further consultation with the concerned Subject Committee regarding the work and activities of the applicant institution and the granting of an Accreditation Certificate to such institution. (2) If, upon consultation pursuant to sub-section (1) based on the final report submitted by the Subject Committee pursuant to Section 12, it appears reasonable to grant an Accreditation Certificate to the applicant institution, the Executive Director shall, subject to necessary conditions and upon collecting the prescribed fee, grant the Accreditation Certificate within one month. (3) The validity period of an Accreditation Certificate granted pursuant to sub-section (2) shall be three years from the date of issuance of the certificate. (4) Other provisions regarding the format of the Accreditation Certificate shall be as prescribed. (5) Notwithstanding anything written elsewhere in this Section, if it is decided based on the final report received from the Subject Committee pursuant to Section 12 that it is not appropriate to grant an Accreditation Certificate to the applicant institution, information along with the reason thereof shall be given to such institution within seven days. 14. Renewal of Accreditation Certificate: (1) An institution that has obtained an Accreditation Certificate pursuant to Section 13 shall, before the expiry of the validity period of the Accreditation Certificate obtained by it, pay the prescribed fee and get the Accreditation Certificate renewed every three years. (2) If renewal cannot be done within the period pursuant to sub-section (1), it may be renewed within sixty days from the expiry of such period by paying double the renewal fee. (3) The Accreditation Certificate of an institution that does not get it renewed within the period mentioned in sub-section (2) shall be deemed to be automatically cancelled after the expiry of that period. (4) Other procedures relating to the renewal of the Accreditation Certificate shall be as prescribed. 15.

Suspension and Cancellation of Certificate: (1) The Centre shall regularly monitor institutions holding Accreditation Certificates. (2) If, during monitoring pursuant to sub-section (1), it is found that an institution holding an Accreditation Certificate has violated this Act or rules made under this Act or conditions set by the Centre, the Centre may decide to do as follows in relation to the concerned institution:- (a) Issue a warning, (b) If, even after being warned pursuant to clause (a), the institution fails to comply with the direction given by the Centre, suspend the certificate of such institution for a maximum period of six months, or (c) Reduce the scope of accreditation. (3) Before suspending pursuant to clause (b) of sub-section (2), the Centre shall give the concerned institution a reasonable opportunity to submit a defence. (4) If serious harm is caused to anyone by the work and activities of an institution holding an Accreditation Certificate, the Centre shall cancel the Accreditation Certificate of such institution and publish a notice thereof in a national daily newspaper and also post it on the Centre's website. (5) Other procedures relating to the suspension and cancellation of an Accreditation Certificate shall be as prescribed. 16. Approval Required for Accreditation from Foreign Institution: (1) If a conformity assessment body wishes to obtain accreditation from any foreign institution that carries out accreditation-related work, it shall submit an application to the Centre for approval in the format as prescribed, along with the prescribed fee. (2) Upon receipt of an application pursuant to sub-section (1), the Centre may grant approval for accreditation. (3) The Centre shall monitor the accreditation-related work and activities carried out by a foreign institution after obtaining approval from the Centre pursuant to sub-section (1). (4) Other procedures relating to granting approval pursuant to this Section shall be as prescribed. 17.

Regulation of Conformity Assessment Bodies: (1) If a foreign conformity assessment body wishes to carry out conformity assessment-related work in Nepal, it shall obtain approval from the Centre. (2) Unless otherwise provided by the prevailing law, the Centre may regulate conformity assessment bodies. (3) Procedures relating to approval and regulation pursuant to this Section shall be as prescribed. Chapter-4 Provisions Relating to Offences, Penalties and Appeals 18.

Offences: If any person commits any of the following acts, it shall be considered an offence against this Act:-

(a) Using the logo of an Accreditation Certificate without obtaining an Accreditation Certificate under this Act or during the period when the Accreditation Certificate is suspended, (b) Using the Centre's logo while conducting conformity assessment in a field other than the field for which the Accreditation Certificate was granted, (c) If an institution holding an Accreditation Certificate, while conducting conformity assessment of any institution, accords recognition of quality to low-quality or substandard goods or services, or (d) Committing any other act contrary to this Act. 19. Penalties: (1) If any person commits an offence pursuant to Section 18, the Executive Director shall impose a fine as follows:- (a) Up to one hundred thousand rupees for committing an offence pursuant to clauses (a) and (c) of Section 18, (b) Up to seventy-five thousand rupees for committing an offence pursuant to clause (b) of Section 18, and (c) Up to fifty thousand rupees for committing an offence pursuant to clause (d) of Section 18. (2) Based on the quantity or severity of the offence committed by any institution pursuant to Section 18, the Centre may also cancel the Accreditation Certificate granted to such institution pursuant to Section 13. (3) Before making a decision to impose a fine or cancel an Accreditation Certificate under this Section, the concerned institution shall be given a reasonable opportunity to submit a defence. 20. Complaints and Investigation: (1) If any person learns that an institution holding an Accreditation Certificate has performed any act contrary to this Act or the rules, guidelines, procedures, criteria, or conditions determined by the Centre made under this Act, any person may file a complaint with the Centre. (2) If a complaint is filed pursuant to sub-section (1), the Centre shall start an investigation immediately regarding the matter. (3) If, during the investigation pursuant to sub-section (2), the content of the complaint appears reasonable, the Centre shall initiate proceedings for action pursuant to this Act against the concerned institution. (4) Other procedures relating to complaints and investigation shall be as prescribed. 21.

Review Committee: (1) For the review of penalties and decisions made by the Executive Director pursuant to Section 19, the Ministry shall constitute a Review Committee as follows:- (a) Joint Secretary, Ministry - Chairperson (b) Under Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (c) One expert related to conformity assessment - Member (2) A party dissatisfied with the penalty or decision made by the Executive Director pursuant to Section 19 may submit an application for its review to the Review Committee constituted pursuant to sub-section (1) within fifteen days. (3) The Review Committee shall make a necessary decision upon the application received pursuant to sub-section (2) within thirty days. (4) Other procedures relating to the review shall be as prescribed. 22. Appeal: A party dissatisfied with the decision made by the Review Committee pursuant to sub-section (3) of Section 21 may appeal to the concerned District Court within thirty-five days from the date of receipt of information of such decision. Chapter-5 Provisions Relating to the Executive Director and Employees 23. Appointment of Executive Director: (1) There shall be an Executive Director to function as the administrative chief of the Centre. (2) The Government of Nepal shall constitute a three-member recommendation committee, under the coordination of a Joint Secretary of the Ministry, including a representative of the Public Service Commission and one expert in the relevant subject, to recommend candidates for appointment to the post of Executive Director. (3) The committee constituted pursuant to sub-section (2) shall recommend three candidates for appointment to the post of Executive Director from among Nepali citizens who have passed at least a post-graduate level in Science and

Technology, Engineering, or Medical Science and have at least seven years of experience in the field of quality infrastructure such as quality determination or certification, calibration, laboratory analysis, inspection, proficiency testing, certified reference materials production, quality management, or accreditation, and have completed the age of thirty years. (4) From among the candidates recommended pursuant to sub-section (3), the Government of Nepal shall appoint a suitable candidate to the post of Executive Director. (5) The term of office of the Executive Director appointed pursuant to sub-section (4) shall be four years. (6) Notwithstanding anything written in sub-section (5), if the Executive Director fails to honestly fulfill the official responsibilities, if he/she acts against the interest or objective of the Centre, or if he/she exhibits misconduct, the Government of Nepal may remove him/her from the position at any time.

Provided that, before being removed in such a manner, he/she shall be given a reasonable opportunity to submit a defence.

(7) Until an appointment of an Executive Director is made pursuant to sub-section (4), the Government of Nepal may designate an officer of the Federal Civil Service, at least of the gazetted second class, who possesses the qualifications pursuant to sub-section (3), to work as the Executive Director. 24. Disqualification of Executive Director: The following persons shall not be qualified for appointment or to hold office as Executive Director:-

- (a) A person who does not possess the qualifications pursuant to sub-section (3) of Section 23,
- (b) A person who has completed the age of sixty-five years,
- (c) A person who has been convicted of an offence related to corruption, rape, human trafficking and transportation, narcotic drug sale, distribution and transportation, money laundering, passport misuse, kidnapping, or other criminal offence involving moral turpitude, or sentenced to life imprisonment or imprisonment of twenty years or more for any offence, and such verdict has become final,
- (d) A person who has been blacklisted pursuant to the prevailing law,
- (e) A person who has been adjudged insolvent by a court,
- (f) A person who has obtained residential permits of any foreign country,

Explanation: For the purpose of this clause, "Permanent Residence Permit" means a Diversity Immigrant Visa (D.V.), Permanent Resident Visa (P.R.), or Green Card provided to a Nepali citizen to reside permanently in a foreign country, whether subject to any condition or not, and the term also includes a permanent residence permit of any name given to a Nepali citizen to reside permanently abroad.

(g) A person who is unable to perform duties due to physical or mental illness. 25. Service Conditions of Executive Director: The remuneration, service conditions, and facilities of the Executive Director shall be as prescribed. 26. Functions, Duties and Powers of the Executive Director: The functions, duties, and powers of the Executive Director shall be as follows:-

- (a) To prepare guidelines, procedures, and criteria related to accreditation and submit them to the Committee for approval,
- (b) To implement or cause to be implemented the decisions made by the Committee, approved plans, programs, and budget,
- (c) To prepare the annual plan, program, and budget of the Centre and submit them to the Committee for approval,
- (d) To oversee and control the Fund and to take care and maintain the movable and immovable property of the Centre,
- (e) To act as a liaison officer between the Centre and the Committee,
- (f) To issue, suspend, or cancel Accreditation Certificates subject to this Act or the rules made under this Act, and

(g) To perform other functions as prescribed. 27.

Provisions Relating to Employees: (1) To conduct the work of the Centre smoothly, there shall be a necessary number of employees in the Centre according to the organizational structure and posts approved by the Government of Nepal. (2) The employees required in the Centre shall be provided by the Government of Nepal. (3) Notwithstanding anything written in sub-section (2), the Centre may appoint technical expert employees required by it on a contract basis in accordance with the prevailing law. Chapter-6 Provisions Relating to Fund and Accounts 28. Fund: (1) The Centre shall have its own Fund. (2) The Fund pursuant to sub-section (1) shall consist of the following amounts:- (a) Amounts received from the Government of Nepal, (b) Amounts received in consideration of services provided by the Centre, (c) Amounts received from domestic associations, institutions, or individuals, and (d) Amounts received from foreign governments, institutions, individuals, or international associations or institutions. (3) Before receiving amounts pursuant to clause (d) of sub-section (1), the Centre shall obtain the approval of the Government of Nepal, Ministry of Finance. (4) All expenses incurred by the Centre, including its day-to-day administration, shall be borne by the Fund. 29. Accounts and Audit of the Fund: (1) The Centre shall maintain accounts of the Fund according to the accounting system adopted by the Government of Nepal. (2) The operation of the Fund account shall be by joint signature of the Executive Director or an authorized officer designated by him/her and the chief accounts officer of the Centre. (3) The audit of the Fund shall be carried out by the Auditor General. (4) The Government of Nepal may, at any time, inspect or cause to be inspected the accounts and records of the Fund. 30. Monitoring and Inspection May Be Done: The Committee may, at any time, monitor or inspect or cause to be monitored or inspected the work and activities of the Centre regarding whether the work and activities have been carried out by the Centre in accordance with this Act or the rules, guidelines, procedures, and criteria made under this Act. Chapter-7 Miscellaneous 31. Annual Report: (1) The Centre shall prepare a report of the work and activities accomplished during the year and, after getting it approved by the Committee, submit it to the Ministry through the Committee within three months of the end of each fiscal year. (2) Other provisions relating to the annual report shall be as prescribed. 32.

Delegation of Powers: (1) The Committee may delegate some of the powers vested in it to the Chairperson, Member, Executive Director, or Subject Committee as necessary. (2) The Executive Director may delegate some of the powers vested in him/her under this Act to any authorized employee of the Centre as necessary. 33. Oath to be Taken: The Executive Director and the Coordinator and members of the Subject Committee shall take an oath in the format as per the Schedule before the Chairperson before assuming their duties. 34. No Bar to Prosecution under Prevailing Law: If an act that constitutes an offence under this Act also constitutes an offence under other prevailing laws, this Act shall not be deemed to bar prosecution under such other laws. 35. Contact with the Government of Nepal: The Centre shall contact the Government of Nepal through the Ministry. 36. Act Implementation Review: The Ministry shall conduct a review of the implementation of this Act within one year of the completion of five years from the commencement of this Act, and thereafter within one year after every subsequent five years, and shall submit a report thereof to the relevant committee of both Houses of the Federal Parliament. 37. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of this Act. 38. Power to Make Guidelines, Procedures, and Criteria: (1) To facilitate the work and activities of the Centre, the Centre may make guidelines, procedures, and criteria as necessary. (2) The guidelines, procedures, and criteria made pursuant to sub-section (1) shall come into effect from the date of approval by the Ministry. Schedule (Relating to Section 33) Oath I, , do sincerely affirm/swear in the name of God that I will honestly, remaining in discipline and subject to the Accreditation Act, 2079 and the prevailing law, fearlessly, without favour, affection, malice, or greed, fulfill the responsibilities and duties of the office of the Executive Director / Coordinator / Member of

Subject Committee of the Nepal Accreditation Centre, and will not disclose, under any circumstances except while adhering to the prevailing law, any matter that comes to my knowledge in the course of performing my duties. Name of the person taking oath: Signature: Date: Position: Name of the person certifying the taking of oath: Signature: Date: Position: Office: